

**Time:** 5 minutes**Outcome:** Analyze Price Discrimination.**Difficulty:** ●●○ Intermediate

## Price Discrimination



### THE CORE IDEA

Price discrimination charges different prices for reasons beyond cost differences. It requires market power, information about willingness to pay (WTP), and limits on resale. Perfect first-degree discrimination charges each buyer their WTP; it can expand output to the efficient quantity and transfer consumer surplus to the seller.



### HOW TO RECOGNIZE IT

- Charging each unit up to willingness to pay can make serving all units with value at least MC profitable.
- Price discrimination requires control over price and a way to distinguish relevant buyers or markets.
- Perfect discrimination can expand output to the efficient quantity while transferring surplus to the seller.
- The firm allocates output across separated markets using marginal revenue relative to marginal cost.
- Different demand responsiveness is the economic reason separated groups can receive different optimal prices.



### WATCH OUT

Different prices alone do not prove discrimination; costs may differ. Perfect first-degree discrimination is a special case, not a description of every student discount or coupon.



### WORKED EXAMPLE: TESTING PRICE DISCRIMINATION

A theater charges students \$8 and other adults \$14 for the same seat. The policy can persist only if students cannot resell discounted tickets to adults; otherwise arbitrage would erase the price difference. Verification separates the groups, and the different prices reflect different demand elasticities.



### CHECK YOURSELF

A seller charges students less than other buyers. Why must it be able to identify the groups and prevent resale for this pricing policy to persist?

**READY?**

Return to the game and master this concept.